



The Legal Protection of Intellectual Property

In recent years, the world's major economies have become considerably more knowledge-based. High value-added, knowledge-intensive industries such as software and information services businesses have grown at the expense of resource-based and commodity businesses. The rationale for this trend is clear: such knowledge-intensive industries offer superior opportunities to create sustainable competitive advantage and superior economic returns.

As the U.S. economy has become more knowledge-intensive, legal minds have grappled with the issue of intellectual property: Who owns an idea? How can valuable knowledge and information be protected?

This note will address the various categories of protection afforded by the law, describe the nature of what can be protected, and discuss how that protection is achieved.

Intellectual Property

The area of intellectual property has challenged the legal system for hundreds of years, and continues to do so. Common law has historically protected property rights of individuals and corporations. But the area of intellectual property presents challenges to the legal system. If someone stole a piece of physical property—like your wedding band—it would be fairly easy to prove: that individual would have the ring, and you would be without it.

Yet, how can you tell when someone has taken an idea or a concept? A copy of a software program does not diminish the physical attributes of the original, only the economic interests of the owner. Intellectual property issues are particularly complex in situations where an individual is working on some state-of-the-art process for his employer. During the course of developing the design, the employee has some “inspiration” which was outside the scope of the project's original bounds. Does this idea belong to the employer or the employee? Does it matter whether the inspiration occurred on the company's premises or while the employee was at home in the shower? Could the employee continue to work for the employer, but set up an independent business to exploit the idea?

A special system of patent law and patent court system was developed to deal specifically with these questions. Recently, however, intellectual property issues have arisen outside the bounds

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of traditional patent and trade secret law. The legal system is currently in the midst of grappling with these problems, and recent (1995) legislation has attempted to clarify certain issues.

Intellectual Property and the Law

Historically, it has been a specific goal of U.S. public policy to create the incentives required for the progress of technology. One of the means to this end has been through the system of patents and copyrights. These classes of intellectual property have arisen out of the statutes of the United States government, which are, quite literally, the laws of the United States as passed by Congress.

They include “titles” such as: Title 11-Bankruptcy; Title 23-Highways; Title 39-Postal Service; and Title 50-War and National Defense.

Each of the “Titles” lays down the law relating to the subject at hand, as well as the administrative systems the U.S. government will put in place to support each of the areas. There are two titles specifically relating to intellectual property: Title 17-Copyrights; and Title 35-Patents.

Patents and copyrights receive protection directly under this statutory framework, but the law in these areas is not governed exclusively by the language of the U.S. Code itself. Through their application and interpretation of the statutes in individual cases, judges define (and, indeed create) relevant legal standards. Such “common law,” or judge-made law, adapts the patent and copyright laws to modern circumstances (short of constitutional amendments to the statutes themselves).

Out of common law principles have grown other areas of law which address intellectual property issues. These areas include trademarks, trade secrets, and confidential business information. Each of these topics will be explored in detail.

Patents

Patents are issued by the U.S. Patent and Trademark Office. There are three specific types of patents:

- Utility Patents: for new articles, processes, machines, etc;
- Design Patents: for new and original ornamental designs for articles of manufacture; and
- Plant Patents: for new varieties of plant life.

It is important to understand the concept of a patent. A patent *does not* grant an individual exclusive rights to an invention. The inventor *already* has that exclusive right by dint of having invented the device in the first place; he/she can merely keep the invention a secret and enjoy its exclusive use. Rather, the government grants the inventor the “negative right” to exclude others from making or using the invention. This right is granted in exchange for placing the information in the public domain.¹

For instance, let’s assume that the electronic calculator was a patentable invention, and that Mr. Sharp was issued a patent on the device. Now, let us further assume that the idea of a checkbook holder containing an electronic calculator was also patented, and that Mr. Chex was issued a patent on this invention. Mr. Chex would have the right to prevent others including Mr. Sharp from

¹ David A. Burge, *Patent and Trademark Tactics and Practice* (New York: John Wiley & Sons, 1980), p. 25.

manufacturing this device. However, Mr. Chex *could not* produce his article without the consent of Mr. Sharp. In the event that patent infringement does occur, the patent holder can sue in civil court for damages. Should the patent holder become aware of potential infringement before the actual infringement occurs, he/she can sue for an injunction to prevent the infringement from actually occurring.

As mentioned, these kinds of legal battles occur in the civil courts. The purpose of the patent court system is to mediate patent claims. For example, when a patent claim is published in the *Patent Gazette*, others could come forward and challenge the patentability of the invention in the patent court system. One basis of challenge is for another inventor to claim that he/she was actually the first inventor. For this reason, it is recommended that inventors keep a daily record of their progress in a notebook. These notes should record the inventor's progress, and be signed and witnessed on a daily basis. In the event of a challenge, such a record will prove invaluable.

The three types of patents each cover different kinds of intellectual property, and are governed by different regulations.

Utility patents A utility patent is issued to protect new, useful processes, devices or inventions. Utility patents are issued for a term of 20 years from date of application. First, what constitutes a patentable "invention?" The invention must meet several requirements:²

- It must fall within one of the statutory categories of subject matter. There are four broad classes of subject matter: machines, manufacture, composition of matter, and processes.
- Only the actual, original inventor may apply for patent protection. In the case of corporations, for instance, the patent, when issued, is always granted to the individual and then *assigned* to the corporation.
- The invention must be new. That is, it will be considered novel if it is:
 - not known or used by others in the U.S.;
 - not patented or described by others in a printed publication in this or a foreign country;
 - not patented in this country;
 - not made in this country by another who had not abandoned, suppressed, or concealed it.
- The invention must be useful, even if only in some minimal way.
- The invention must be nonobvious. If the invention has been obvious to anyone skilled in the art, then it is not patentable.

Finally, even if an invention meets all of these requirements, a patent can be denied if the application was not filed in a timely fashion. Specifically, if you used, sold, described in print, or attempted to secure a foreign patent application *more than one year prior* to your U.S. application, the patent will be denied.

² Illinois Institute for Continuing Legal Education, *Intellectual Property Law for the General Business Counselor* (Illinois: Illinois Bar Center, 1973), pp. 1–16 through 1–24.

The process of obtaining a patent is quite laborious. Patent attorneys, who specialize in the area, will draft the patent application which includes specific claims for the patentability of the invention. After several iterations of discussions with the patent office, some or all of the claims may be approved. This process frequently takes two years or longer.

Following acceptance of the patent by the Patent Office, a general description of the invention is published in the *Patent Gazette*. Interested parties may request the full patent from the Patent Office for a very nominal fee.

During the time between application for a patent and its issue, the invention has “patent pending” status. In some ways, this offers more protection than the actual patent. The invention will not be revealed by the government during this time, and others may be afraid to copy the invention for fear of infringing on the forthcoming patent.

Design patents A design patent protects the nonfunctional features of useful objects. Design patents are issued for 14 years. In order to obtain a design patent, the following requirements must be met:³

- Ornamentality—the design must be aesthetically appealing and must not be dictated solely by functional or utilitarian considerations.
- Novelty—the design must be new. The same criteria used for a utility patent will be applied here.
- Nonobvious—the design must not be obvious to anyone skilled in the art. This is a difficult standard to apply to a design, and is quite subjective.
- Embodied in an article of manufacture—the design must be an inseparable part of a manufactured article.

Plant patents A plant patent is attainable on any new variety of plant which that individual is able to reproduce asexually. The new plant must be nonobvious. A plant patent is issued for a term of 20 years.

Copyrights

Copyright protection is afforded to artists and authors, giving them the sole right to print, copy, sell, and distribute the work. Books, musical and dramatic compositions, maps, paintings, sculptures, motion pictures and sound recordings can all be copyrighted.

To obtain copyright protection, the work must simply bear a copyright notice which includes the symbol © or the word “copyright,” the date of first publication, and the name of the owner of the copyright.

Copyrighted works are protected for a term of 50 years beyond the death of the author.

³ Burge, pp. 137, 138.

Trademarks, Service Marks, and Trade Dress

A trademark is any name, symbol, or configuration which an individual or organization uses to distinguish its products from others. A service mark is such a name which is used to distinguish a service, rather than a tangible product.

Trademark law is *not* derived from statutes of the Constitution, but is an outgrowth of the common law and service dealing with unfair competition. Unfair competition is deemed to exist when the activities of a competitor result in confusion in the mind of the buying public.

There are several regulations which govern the proper use and protection of trade- and service marks.⁴ The scope of protection under the law is a function of the nature of the mark itself.

- Coined marks—a newly coined, previously unknown mark is afforded the broadest protection, e.g., Xerox as a brand of copier, Charmin as a brand of toilet tissue.
- Arbitrary marks—a name already in use, and applied to a certain product by a firm, but without suggesting any of the products attributes, e.g., Apple Computer, Milky Way candy bars.
- Suggestive marks—a name in use, but suggesting some desirable attribute of the product, e.g., Sweet-n-Low as a low-calorie sweetener, White-Out correction fluid.
- Descriptive marks—a name which describes the purpose or function of the product. Descriptive marks cannot be registered until, over time, they have proven to be distinctive terms, e.g., “sticky” would probably not be approved as a trademarked brand name for glue.
- Unprotectable terms—generic names, which refer to the general class of product. Escalator, for instance, once a trade name is now a generic term for moving staircases. One could not introduce a new brand of orange juice and call it “O.J.”

In order to maintain a trademark, an owner must continue to use it and protect it. In this vein, some consumer product companies routinely produce and sell a few hundred items of several brand names which they have trademarked and wish to protect, but are not in normal production. Similarly, Coca-Cola has a crew of agents who routinely order “a coke” in establishments which do not serve Coca-Cola. If they are served a soda, they prosecute. In this way, they can maintain that they have attempted to keep their brand name from becoming a generic. Aspirin, Cellophane, Zipper and Escalator, are all names which lost their trademark status due to failure of their owners to protect the usage of the term.

Until a trademark is registered with the Patents and Trademark Office, it is desirable to use the TM symbol after the name of a product, SM for services. After registration, the legend ® should be used.

Trade dress is a term that refers to the look and feel of a retail establishment. Just as the courts have sought to protect the value businesses have built up in a brand name, they have been asked to protect the distinctive “look and feel” of certain retail concepts. In a recent example, for instance, one Mexican restaurant chain successfully sued a “knock-off” of the concept, arguing that

⁴ Burge, p. 114.

the imitator had copied the unique trade dress of the original concept, unfairly trading on the value created by the concept's originator.

Trade Secrets

A trade secret is typically defined as any formula, device, process or information which gives a business an advantage over its competitors. To be classified as a trade secret, the information must not be generally known in the trade.

One cannot, by definition, patent a trade secret, because the patent laws require that the invention be fully disclosed.

One advantage of a trade secret is that the protection will not expire after the 20-year term of the patent. Coke, for instance, maintains its recipe as a trade secret rather than patent it. Yet, should the information become public knowledge, their advantage could disappear quickly, and the inventor would have no claim on the process because it had not been patented.

Finally, should a firm decide to maintain a patentable advantage as a trade secret, and should another firm independently discover and patent that invention, this "second" inventor will have the right to collect royalties or force the "first" inventor to cease patent infringement. For this reason, many corporations routinely "defensively patent" and publish inventions so that others cannot.

In order for a company to maintain trade secret status for advantageous information, the company must keep the information secret and take precautions to keep it secret. These precautions include:

- Having certain policies relating to secret information.
- Making employees sign confidentiality and noncompete agreements.
- Marking documents "confidential" or "secret."

Confidential Business Information

The courts have also seen fit to protect a class of information less "secret" than a trade secret, but which is nonetheless confidential. The key here is that the information is disclosed in confidence, with the clear understanding that the information was confidential. A contractual obligation is established in which the receiver of the information agrees to treat it as confidential, and to use it only in furtherance of the objectives deemed appropriate by the owner. Even if the information is in the public domain, if the recipient derives some value from the confidential disclosure, he/she can be held liable for claims of unjust enrichment. There are several cases, for instance, where an inventor disclosed an idea, the recipient searched out the idea in *existing* U.S. patents, found the idea was already the subject of a patent, and bought that patent from the holder. The courts held that he had to give the patent to the submitter of the disclosure because of the confidential nature of their relationship.⁵ One class of information that is commonly treated in this way, for instance, is a company's customer list.

⁵ Illinois Institute for Continuing Legal Education, pp. 6–9, 10.

Employees' Rights

Much of the law in this arena has evolved in an attempt to protect the rights of the enterprise. This has always been balanced, however, by the employee's right to earn a livelihood in the *best* potential source of livelihood. For instance, as an atomic engineer, the courts would protect my right to make a living *as an atomic engineer*, not merely earn a wage as a waiter or a bartender.

When a relationship between an employee and employer is severed, it is often the content of the written documents that will govern who has rights to what. Employment contracts, confidentiality, nondisclosure and noncompete agreements all come into play. For this reason, prospective employees are well advised to read these documents carefully, and negotiate, rather than merely signing all of the papers which are typically associated with the first day on the job.

An employee can bargain away some of his/her rights in this area by signing inventions agreements, noncompete contracts or employment agreements. However, the courts will not let an employee bargain away his/her fundamental right to earn a living from the best potential source.

If an employee signed an agreement which the courts found to be overly restrictive, the entire agreement would be thrown out. It is this fact which gives rise to the lawyer's advice that "It is better to sign an unreasonable employment agreement than a reasonable one."

There are three dimensions to the reasonableness test that the courts apply to employment agreements:

- time horizon;
- geographic scope;
- nature of employment.

For instance, an employment contract which required an employee not to compete for 6 months, in the state of New York, as a designer of petroleum process facilities might be viewed as reasonable. While an agreement which specified a time horizon of one year and a geographic area of the United States would probably be viewed as unreasonable.

Summary

In summary, it is clear that the body of legal knowledge in the intellectual property area is evolving rapidly. Yet, the processes which the law prescribes remain vitally important; in this area in particular, dotting the "i's" and crossing the "t's" is key. Whether it be keeping notebooks and records, filing patent claims or reading the fine print on an employment contract, it is hard to overemphasize the importance of understanding the detail.

In order to gain sufficient command of the relevant body of law, specialized legal counsel is called for. In an area which is changing so rapidly, one cannot rely on prior practices and "industry standard policies" for protection.

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